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# St. Joseph's College of Arts & Science (Autonomous)

**St. Joseph's College Road, Cuddalore – 607001**

**B.Com (BM) DEGREE EXAMINATION APRIL 2021**

**AEBM101S - BUSINESS ECONOMICS - I**

**Time : 3 hrs** **Max Marks :75**

## SECTION – A (10X2=20)

Answer **ALL** Questions

1. What is demand?
2. What is meant by utility?
3. Explain the concept "Indifference curve'.
4. Give the meaning of price effect.
5. What is meant by production function?
6. What is meant by returns to scale.
7. Define Marginal costs.
8. What is meant by opportunity cost?
9. What do you mean by Demand Function?
10. What is meant by Elasticity of Demand?

## SECTION – B (5X5=25)

Answer **ALL** the Questions

11. (a) State the importance of the Law of Equi-Marginal Utility.

(Or)

(b) What are the limitations of Law of Diminishing Marginal utility.

12. (a) What are indifference curves? Discuss their properties.

(Or)

(b) Explain consumer's surplus theory.

13. (a) Explain Cobb – Douglas production function.

(Or)

(b) What are the assumptions of the Law of variable proportion?

14. (a) Examine the relationship between MC and AC.

(Or)

(b) Explain the "Short-run" cost curves.

15. (a) What are the determinants of Demand?

(Or)

(b) What is meant by Linear equation?

**SECTION – C (3X10=30)**

Answer any **THREE** Questions

16. Why does the Demand curve slope downwards – Give reason?
17. Write a short note on the theory of Revealed preference.
18. Explain the law of variable proportion.
19. Why is LAC U shaped in the long run - Discuss.
20. State the role of Mathematics in business economics.

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